

INVESTMENT MEMORANDUM

Canadian REIT Sector Review: Assessing Portfolio Positioning Amid Rate Relief

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Current Allocation: 5% of total portfolio assets

Recommendation: Maintain 5% weight; rotate within sector

Intra-Sector Change: Reduce office REITs; increase industrial and residential

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Executive Summary

The Canadian REIT sector has underperformed the broader market for two consecutive years as rising interest rates compressed valuations and deteriorating office fundamentals created credit concerns. With the Bank of Canada beginning to cut rates in June 2024, we see improving conditions for the sector. However, we do not believe a broad-based re-rating is warranted - the structural headwinds facing office and retail REITs remain significant. We recommend maintaining the 5% allocation but executing an intra-sector rotation from office exposure to industrial and residential.

Sub-Sector Analysis

Industrial REITs: Strongest fundamental backdrop. Canadian logistics vacancy near all-time lows at 2.8%. E-commerce penetration continues to drive demand for last-mile distribution space. We favour Granite REIT and Dream Industrial REIT. Recommend increasing to 2.5% of the REIT allocation.

Residential REITs: Benefiting from housing affordability crisis. Apartment rents continue to rise faster than inflation. CMHC data shows rental vacancy at 1.5% nationally - the lowest in 30 years. Interrent REIT and Canadian Apartment Properties REIT are our preferred names. Recommend increasing to 2.0% of the REIT allocation.

Retail REITs: Mixed signals. Necessity-based retail (grocery-anchored, drug store) performing well. Discretionary retail struggling with foot traffic. RioCan has shown resilience through diversification into residential development. Maintain market weight at 1.5%.

Office REITs: Structural challenge from hybrid work remains unresolved. Toronto downtown office vacancy of 16% is near record highs. Allied Properties and Dream Office face material refinancing risk in 2025-2026 as maturing debt must be renewed at significantly higher rates. Reduce exposure from 2.0% to 0.5% of REIT allocation.

Rate Sensitivity Analysis

A 50bp decline in the 10-year Government of Canada bond yield (in line with consensus BoC expectations) would increase REIT valuations by approximately 6-9% based on historical correlation. The industrial and residential sub-sectors show the highest sensitivity given their strong cash flow growth profiles which justify premium multiples. Office REITs show lower rate sensitivity as the structural demand issue dominates.

Recommended Portfolio Actions

- Reduce: Allied Properties REIT (AP) - exit position; fundamental deterioration beyond rate headwinds
- Reduce: Dream Office REIT (D.UN) - reduce to zero; balance sheet risk elevated
- Add: Granite REIT (GRT.UN) - initiate 1.5% position; best-in-class industrial REIT
- Add: Dream Industrial REIT (DIR.UN) - initiate 1.0% position; strong GTA exposure

- Maintain: RioCan REIT (REI.UN) - 1.5% weight; diversification into mixed-use supports valuation
- Maintain: Interrent REIT (IIP.UN) - 1.0% weight; residential fundamentals compelling